

readily available information, not necessarily based on complete, objective, or factual information.

Technical Description

People often inadvertently assume that readily available thoughts, ideas, or images represent unbiased indicators of statistical probabilities. People estimate the likelihoods of certain events according to the degree of ease with which recollections or examples of analogous events can be accessed from memory. Impressions drawn from imagination and past experience combine to construct an array of conceivable outcomes, whose real statistical probabilities are, in essence, arbitrary. There are several categories of availability bias, of which the four that apply most to investors are: (1) *retrievability*, (2) *categorization*, (3) *narrow range of experience*, and (4) *resonance*. Each category will be described and corresponding examples given.

1. *Retrievability*. Ideas that are *retrieved* most easily also seem to be the most credible, though this is not necessarily the case. For example, Daniel Kahneman, Paul Slovic, and Amos Tversky performed an experiment in which subjects were read a list of names and then were asked whether more male or female names had been read.¹ In reality, the majority of names recited were unambiguously female; however, the subset of male names contained a much higher frequency of references to celebrities (e.g., “Richard Nixon”). In accordance with availability theory, most subjects produced biased estimates indicating, mistakenly, that more male than female names populated the list.
2. *Categorization*. In Chapter 5, “Representativeness Bias,” we discussed how people’s minds comprehend and archive perceptions according to certain classification schemes. Here, we will discuss how people attempt to categorize or summon information that matches a certain reference. The first thing that their brains do is generate a set of search terms, specific to the task at hand, that will allow them to efficiently navigate their brain’s classification structure and locate the data they need. Different tasks require different search sets, however; and when it is difficult to put together a framework for a search, people often mistakenly conclude that the search simply references a more meager array of results. For example, if a French person simultaneously tries to come up with a list of high-quality U.S. vineyards and a corresponding list of French vineyards, the list of U.S. vineyards is likely to prove more difficult to create. The French person, as a result, might predict that high-quality U.S. vineyards exist with a lower probability than famous French vineyards, even if this is not necessarily the case.